

KELANI CABLES PLC

Company Reg. No. PQ 117



INTERIM FINANCIAL STATEMENTS
FOR THE 06 MONTHS PERIOD ENDED SEPTEMBER 30, 2021

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30TH SEPTEMBER 2021

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the quarter ended 30 September	COMPANY AND INVESTEE		COMPANY	
	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.
Revenue	3,968,563,544	2,497,355,004	3,968,563,544	2,497,355,004
Cost of sales	(3,235,772,424)	(2,190,934,576)	(3,235,772,424)	(2,190,934,576)
Gross profit	732,791,120	306,420,428	732,791,120	306,420,428
Other income	9,210,401	3,684,305	9,210,401	3,684,305
Distribution expenses	(120,996,768)	(114,569,152)	(120,996,768)	(114,569,152)
Administrative expenses	(98,392,586)	(67,359,636)	(98,392,586)	(67,359,636)
Profit from operations	522,612,167	128,175,945	522,612,167	128,175,945
Finance income	13,306,496	8,687,809	13,306,496	8,687,809
Finance expenses	(95,121,234)	(16,277,122)	(95,121,234)	(16,277,122)
Net finance expenses	(81,814,738)	(7,589,313)	(81,814,738)	(7,589,313)
Share of (loss)/profit on equity accounted investee, net of tax	(625,293)	(548,078)	-	-
Profit before tax	440,172,136	120,038,554	440,797,429	120,586,632
Income tax expense	(79,337,399)	(16,242,802)	(79,337,399)	(16,242,802)
Profit for the quarter	360,834,737	103,795,752	361,460,030	104,343,830
Other comprehensive income				
Items that will not be reclassified to profit or loss				
Actuarial (loss)/gain on defined benefit obligations	-	(173,910)	-	(173,910)
Related tax	-	37,839	-	37,839
Other comprehensive income , net of tax	-	(136,071)	-	(136,071)
Total comprehensive income for the quarter	360,834,737	103,659,681	361,460,030	104,207,759
Earnings per share -Rs.	16.55	4.76	16.58	4.79
Market value per share				
Highest price-Rs.			151.75	100.00
Lowest price-Rs.			123.25	50.00
Last traded price-Rs.			130.00	95.00
Number of shares representing the stated capital (Nos.)			21,800,000	21,800,000

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the period ended 30 September	COMPANY AND INVESTEE		COMPANY	
	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.
Revenue	6,660,055,358	3,825,831,648	6,660,055,358	3,825,831,648
Cost of sales	(5,559,108,214)	(3,354,369,083)	(5,559,108,214)	(3,354,369,083)
Gross profit	1,100,947,144	471,462,565	1,100,947,144	471,462,565
Other income	11,159,731	4,837,533	11,159,731	4,837,533
Distribution expenses	(228,769,450)	(191,283,073)	(228,769,450)	(191,283,073)
Administrative expenses	(199,039,192)	(151,062,393)	(199,039,192)	(151,062,393)
Profit from operations	684,298,233	133,954,632	684,298,233	133,954,632
Finance income	24,227,298	16,653,943	24,227,298	16,653,943
Finance expenses	(115,891,733)	(60,370,787)	(115,891,733)	(60,370,787)
Net finance expenses	(91,664,435)	(43,716,844)	(91,664,435)	(43,716,844)
Share of loss on equity accounted investee, net of tax	(1,219,950)	(1,069,224)	-	-
Profit before tax	591,413,848	89,168,564	592,633,798	90,237,788
Income tax expense	(106,668,798)	(16,242,802)	(106,668,798)	(16,242,802)
Profit for the period	484,745,050	72,925,762	485,965,000	73,994,986
Other comprehensive income				
Items that will not be reclassified to profit or loss				
Actuarial (loss)/gain on defined benefit obligations	-	(337,290)	-	(337,290)
Related tax	-	60,712	-	60,712
Other comprehensive income, net of tax	-	(276,578)	-	(276,578)
Total comprehensive income for the period	484,745,050	72,649,184	485,965,000	73,718,408
Earnings per share -Rs.	22.24	3.35	22.29	3.39
Market value per share				
Highest price-Rs.			159.25	100.00
Lowest price-Rs.			110.25	65.00
Last traded price-Rs.			130.00	95.00
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF FINANCIAL POSITION

	COMPANY & INVESTEE		COMPANY	
	As at 30 September 2021	As at 31 March 2021	As at 30 September 2021	As at 31 March 2021
	Rs.	Rs.	Rs.	Rs.
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	1,069,408,454	1,009,006,175	1,069,408,454	1,009,006,175
Intangible assets	3,361,001	6,825,088	3,361,001	6,825,088
Investment property	650,500,000	650,500,000	650,500,000	650,500,000
Right-of-use assets	3,571,704	4,018,166	3,571,704	4,018,166
Investment in equity accounted investee	72,235,134	73,455,084	51,200,000	51,200,000
	1,799,076,293	1,743,804,513	1,778,041,159	1,721,549,429
CURRENT ASSETS				
Inventories	2,612,399,793	2,227,972,407	2,612,399,793	2,227,972,407
Trade and other receivables	2,958,907,956	2,981,195,149	2,958,907,956	2,981,195,149
Amount due from related companies	59,906	224,294	59,906	224,294
Value added tax recoverable	841,692,973	743,686,739	841,692,973	743,686,739
Deposits and prepayments	13,483,315	15,345,296	13,483,315	15,345,296
Cash and cash equivalents	1,510,337,845	924,789,700	1,510,337,845	924,789,700
	7,936,881,788	6,893,213,585	7,936,881,788	6,893,213,585
TOTAL ASSETS	9,735,958,081	8,637,018,098	9,714,922,947	8,614,763,014
EQUITY AND LIABILITIES				
EQUITY				
Stated capital	218,000,000	218,000,000	218,000,000	218,000,000
Capital reserves	592,491,173	592,491,173	522,620,414	522,620,414
General reserves	431,136,000	431,136,000	431,136,000	431,136,000
Retained earnings	3,794,840,933	3,408,195,883	3,843,676,558	3,455,811,558
	5,036,468,106	4,649,823,056	5,015,432,972	4,627,567,972
NON-CURRENT LIABILITIES				
Employee benefits	170,517,556	160,740,911	170,517,556	160,740,911
Deferred taxation	41,408,240	41,408,240	41,408,240	41,408,240
Interest bearing borrowings	281,751,850	5,553,380	281,751,850	5,553,380
	493,677,646	207,702,531	493,677,646	207,702,531
CURRENT LIABILITIES				
Trade and other payables	1,736,637,452	1,960,727,534	1,736,637,452	1,960,727,534
Amount due to related companies	668,317,000	600,636,824	668,317,000	600,636,824
Current taxation	345,839,977	306,620,053	345,839,977	306,620,053
Unclaimed dividends	16,122,390	17,212,429	16,122,390	17,212,429
Interest bearing borrowings	1,293,851,337	803,428,116	1,293,851,337	803,428,116
Bank overdrafts	145,044,173	90,867,555	145,044,173	90,867,555
	4,205,812,329	3,779,492,511	4,205,812,329	3,779,492,511
TOTAL LIABILITIES	4,699,489,975	3,987,195,042	4,699,489,975	3,987,195,042
TOTAL EQUITY AND LIABILITIES	9,735,958,081	8,637,018,098	9,714,922,947	8,614,763,014
Net asset per share (Rs.)	231.03	213.29	230.07	212.27

These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.

Ms. Hemamala Karunasekara
Chief Financial Officer

Mahinda Saranapala
Director / Chief Executive Officer

U. G. Madanayake
Chairman

October 28, 2021
Colombo

STATEMENT OF CHANGES IN EQUITY

COMPANY AND INVESTEE

	Stated Capital Rs.	Capital Reserves Rs.	General Reserves Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 1 April 2020	218,000,000	404,949,947	431,136,000	2,908,360,870	3,962,446,817
Comprehensive income for the period					
Profit for the period				72,925,762	72,925,762
Other comprehensive income	-	-	-	(276,578)	(276,578)
Total comprehensive income	-	-	-	72,649,184	72,649,184
Transactions with owners of the Company					
Interim dividend	-	-	-	(76,300,000)	(76,300,000)
Balance as at 30 September 2020	218,000,000	404,949,947	431,136,000	2,904,710,054	3,958,796,001
Balance as at 1 April 2021	218,000,000	592,491,173	431,136,000	3,408,195,883	4,649,823,056
Comprehensive income for the period					
Profit for the period	-	-	-	484,745,050	484,745,050
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	484,745,050	484,745,050
Transactions with owners of the Company					
Interim Dividend	-	-	-	(98,100,000)	(98,100,000)
Balance as at 30 September 2021	218,000,000	592,491,173	431,136,000	3,794,840,933	5,036,468,106

COMPANY

	Stated Capital Rs.	Capital Reserves Rs.	General Reserves Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 1 April 2020	218,000,000	353,276,640	431,136,000	2,956,492,157	3,958,904,797
Comprehensive income for the period					
Profit for the period	-	-	-	73,994,986	73,994,986
Other comprehensive income	-	-	-	(276,578)	(276,578)
Total comprehensive income	-	-	-	73,718,408	73,718,408
Transactions with owners of the Company					
Interim dividend	-	-	-	(76,300,000)	(76,300,000)
Balance as at 30 September 2020	218,000,000	353,276,640	431,136,000	2,953,910,565	3,956,323,205
Balance as at 1 April 2021	218,000,000	522,620,414	431,136,000	3,455,811,558	4,627,567,972
Comprehensive income for the period					
Profit for the period	-	-	-	485,965,000	485,965,000
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	485,965,000	485,965,000
Transactions with owners of the Company					
Interim dividend	-	-	-	(98,100,000)	(98,100,000)
Balance as at 30 September 2021	218,000,000	522,620,414	431,136,000	3,843,676,558	5,015,432,972

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30TH SEPTEMBER 2021

STATEMENT OF CASH FLOWS

For the period ended 30 September	COMPANY & INVESTEE		COMPANY	
	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.
Cash flow from operating activities				
Profit before tax	591,413,848	89,168,564	592,633,798	90,237,788
Adjustments for:				
Share of loss from equity accounted investee (net of tax)	1,219,950	1,069,224	-	-
Interest income	(24,227,298)	(16,653,943)	(24,227,298)	(16,653,943)
Interest expense	45,006,367	60,370,787	45,006,367	60,370,787
Depreciation of property, plant and equipment	49,816,048	20,141,744	49,816,048	20,141,744
Amortization of Intangible assets	1,154,696	-	1,154,696	-
Amortization of right-of-use assets	446,462	-	446,462	-
Provision for obsolete and slow moving inventories	35,773,699	16,633,133	35,773,699	16,633,133
Provision for employee benefits	13,297,218	5,322,129	13,297,218	5,322,129
Operating Profit before working capital changes	713,900,990	176,051,638	713,900,990	176,051,638
Changes in working capital				
(Increase)/decrease in inventories	(420,201,085)	(29,221,382)	(420,201,085)	(29,221,382)
Decrease in trade and other receivables	22,287,193	362,060,663	22,287,193	362,060,663
Decrease/(increase) in amount due from related companies	164,388	(23,229,184)	164,388	(23,229,184)
Increase in deposits and prepayments and value added tax recoverable	(96,144,253)	(44,663,092)	(96,144,253)	(44,663,092)
Increase/(decrease) in amount due to related parties	(224,090,082)	124,617,556	(224,090,082)	124,617,556
Increase/(decrease) in trade and other payables	67,680,176	20,522,995	67,680,176	20,522,995
Cash generated from operations	63,597,327	586,139,194	63,597,327	586,139,194
Employee benefit paid	(3,520,573)	2,606,514	(3,520,573)	2,606,514
Current tax paid	(67,448,874)	(32,417,031)	(67,448,874)	(32,417,031)
Interest paid	(45,006,367)	(60,370,787)	(45,006,367)	(60,370,787)
Net Cash Generated from / (used in) operating activities	(52,378,487)	495,957,890	(52,378,487)	495,957,890
Cash flow from investing activities				
Acquisition of property, plant and equipment	(107,908,936)	(34,769,083)	(107,908,936)	(34,769,083)
Interest received	24,227,298	16,653,943	24,227,298	16,653,943
Net cash (used in) / generated from investing activities	(83,681,638)	(18,115,140)	(83,681,638)	(18,115,140)
Cash flow from financing activities				
Dividend paid	(99,190,039)	(95,353,322)	(99,190,039)	(95,353,322)
Lease payments	(297,342)	-	(297,342)	-
Loans obtained during the period	1,571,740,822	1,215,468,566	1,571,740,822	1,215,468,566
Loans repayments during the period	(804,821,789)	(1,598,056,656)	(804,821,789)	(1,598,056,656)
Net Cash (used in) / generated from financing activities	667,431,652	(477,941,412)	667,431,652	(477,941,412)
Net increase in cash and cash equivalents	531,371,527	(98,662)	531,371,527	(98,662)
Cash and cash equivalents at beginning of the period	833,922,145	596,909,472	833,922,145	596,909,472
Cash and cash equivalents at the end of the period	1,365,293,672	596,810,810	1,365,293,672	596,810,810

NOTES TO THE FINANCIAL STATEMENTS

- Figures in the Interim Financial Statements are provisional and subject to audit.
- The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31 March 2021 and are in compliance with Sri Lanka Accounting Standards - LKAS 34 -Interim Financial Reporting.
- The previous period figures have been re-classified to confirm with the current year's presentation.
- The contingent liability as at September 30, 2021 on guarantees given to third parties amounted to Rs.112, 954,489/-.
- The Board of Directors declared an Interim Dividend of Rs.4/50 per share for the year ended 31st March 2021 amounting to Rs.98.1 Mn on 26th July 2021.
- There have been no other material events subsequent to the interim period which require disclosure in the Financial Statements.
- The number of shares held by the Board of Directors are as follows :

		As at 30 September 2021		As at 30 September 2020	
		No. of Shares	% Holding	No. of Shares	% Holding
Mr. U. G. Madanayake	- Chairman	56,200		56,200	0.26%
Mr. Suren Madanayake	- Deputy Chairman	61,000		61,000	0.28%
Mrs. N. C. Madanayake	- Director	-		-	
Dr. Bandula Perera	- Director	-		-	
Mr. Mahinda Saranapala	- Director/CEO	-		-	
Mr. Deepal Sooriyaarachchi	- Director	-		-	

8. Shares held by public

	No. of Shares	% Holding	No. of Shareholders
Shares held by public as at 30 September 2021	4,399,696	20.2%	1678

Float adjusted market capitalization (Rs.)

571,960,480

Company complies the requirement of Listing Rules of **7.13.1 -Minimum Public Holding as a Continuous Listing Requirement** under the option No. 05 of 7.13.1 (a) as follows.

OPTION	MINIMUM PUBLIC HOLDING REQUIREMENT		
	Float adjusted Market Capitalization	Public Holding Percentage	Number of Public Shareholders
Option -5	Less than Rs.2.5Bn	20%	500

9. 20 Largest Shareholders of the Company as at September 30, 2021 were as follows:

	No. of Shares	% Holding
1 Lanka Olex Cables (Private) Ltd	16,349,348	75.00%
2 ACL Cables PLC	933,756	4.28%
3 Almas Organization (Private) Limited	328,544	1.51%
4 Seylan Bank PLC/W. D. N. H. Perera	327,407	1.50%
5 Bank of Ceylon-No 2 A/C (BOC PTF)	291,454	1.34%
6 Employees Trust Fund Board	135,669	0.62%
7 Thaha I. M.	103,500	0.47%
8 People's Leasing & Finance PLC/Hi Line Towers (Pvt) Ltd	84,903	0.39%
9 Waddock Mackenzie Ltd/Ceylinco Shriram Capital	76,600	0.35%
10 Seylan Bank PLC/Senthil Verl Holdings (Pvt) Ltd	69,686	0.32%
11 Saraswathi V. and Vasudevan S.	63,944	0.29%
12 Goonesekera C. D. M. (Mrs.)	62,500	0.29%
13 Madanayake H. A. S.	61,000	0.28%
14 Madanayake U. G.	56,200	0.26%
15 Citizens Development Business Finance PLC	50,000	0.23%
16 People's Leasing & Finance PLC/Dr. H. S .D Soysa	45,154	0.21%
17 Leonard D. S.	41,203	0.19%
18 Kannangara N. L. & De Livera S. S.	40,000	0.18%
19 Risvi A. M. M	38,291	0.18%
20 Sumathipala U. W. J. P. A.	35,200	0.16%

CORPORATE INFORMATION

Name of the Company	- Kelani Cables PLC
Company registration No.	- PQ 117
Legal form	- A Quoted Public Company with Limited Liability Incorporated as Ceylon Non-Ferrous Metal Industries Limited on 27th January 1969. Thereafter on 18th December 1973 the name was changed to Kelani Cables Limited. With the adoption of the Companies Act No. 07 of 2007, re-registered as Kelani Cables PLC in February 2008.
Registered office	- No. 60, Rodney Street, Colombo 08, Sri Lanka Telephone : 94-11-7608300, 94-11-2697652 Fax : 94-11-2667758, 94 11 2699503
Principle place of business	- P.O. Box 14, Wewelduwa, Kelaniya, Sri Lanka Telephone : 94-11-2911224, 94-11-7434400 Fax : 94-11-2910481 Email : info@kelanicable.com Website : www.kelanicable.com
Board of directors	- Mr. U. G. Madanayake Mr. Suren Madanayake Mrs. N. C. Madanayake Dr. Bandula Perera Mr. Mahinda Saranapala Mr. Deepal Sooriyaarachchi
Company secretary	- Corporate Affairs (Private) Limited. No. 68/1, Dawson Street, Colombo 02, Sri Lanka
Auditors	- KPMG (Chartered Accountants) 32A, Sir Mohamed Macan Marker Mawatha P. O. Box 186 Colombo 03 Sri Lanka
Bankers	- Hatton National Bank PLC Hongkong and Shanghai Banking Corporation Limited Standard Chartered Bank Peoples Bank Nations Trust Bank PLC NDB Bank PLC DFCC Bank PLC Commercial Bank of Ceylon PLC Sampath Bank PLC